

Please Send Money

5. Go back to your budget form, total all expenses, and enter under “B.”
6. Total your net (the amount you deposit) income and enter under “A.”
7. Figure out the difference between “A” and “B” (you want “A” to be greater than “B”).

Once John and Sue had completed their budget (“B” was greater than “A”) they could begin the elimination process. This is not easy. No one likes to give things up. It is easy to go from economy to extravagance; it is hard to go from extravagance to economy. Go back to the wants vs. needs question, Do you really *need* this expense or is it more of a *want*? Giving things up also allows you to stop the endless worry about how you will pay your bills. Peace of mind is worth more than expensive dinners out.

Often, people like John and Sue get the homes and cars of their dreams first and then they try to figure out how they can afford them. If they had worked out a budget first, they would have realized that their income couldn’t sustain both an expensive apartment and expensive cars at the same time. Then a decision could have been made between the cars and the apartment.

We all have different priorities in life. Take this quiz to see what your priorities are:

Read each pair of words. If you had \$50.00, circle the item or activity you would prefer to spend your money on.

Savings OR Personal appearance

Social activities
OR Savings

Clothes OR Social activities

Hobbies OR Clothes

